

Module 10

Business and

Company Law

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

WRITTEN QUESTIONS (Total: 100 marks)

Answer 1

The question required candidates to discuss the differences between the practices of solicitors and barristers in Hong Kong.

Under the legal system in Hong Kong, there are two branches of legal professions, namely, barristers and solicitors. They are self-governing professionals. Hong Kong law school graduates shall decide which branch they should join on completion of Postgraduate Certificate in Laws. In Hong Kong, law graduates can only practise as barristers or solicitors.

Law graduates start the practices by serving as trainee solicitors or pupil barristers. A trainee solicitor is required to serve under a two-year training contract under the supervision of a solicitor whereas a pupil barrister is required to serve a one-year pupillage under the supervision of a barrister.

The Law Society of Hong Kong is the professional body for solicitors and the Hong Kong Bar Association is the professional body for barristers. These professional bodies are responsible for maintaining and regulating the admission and professional conducts and standards of solicitors and barristers respectively.

Solicitors can practise as employees in solicitors' firms on salary basis, practise as partners in a partnership or practise as sole proprietors. Solicitors deal directly with clients and instruct barristers if further advice is required.

Barristers practise on their own, and work with other barristers in offices called the chambers. Barristers cannot directly deal with clients and are unable to instruct other barristers.

Solicitors have rights of audience in the Magistrate's Courts and the District Court. A right of audience refers to the right of a lawyer to appear and conduct proceedings in court on behalf of his/ her client.

Barristers are advocates in courts and have rights of audience in superior courts. They argue their cases before the judges.

Solicitors deal with more legal documents, such as different types of contracts, including commercial contracts, conveyancing agreements, divorce settlement agreements and wills.

Barristers' duties include researching and preparing for case materials, and explaining the laws to provide legal advice to solicitors and their clients.

Answer 2(a)

The question required candidates to discuss the nature of contract terms, i.e. condition, innominate term or warranty under the common law.

There are three types of terms of a contract, namely, condition, innominate term and warranty. The nature of the term depends on the importance of the contract, i.e. whether it is a root of the contract.

Condition is an important term of the contract. For breach of a condition, the innocent party is entitled to repudiate the contract.

Warranty is a less important term of the contract. For breach of a warranty, the innocent party is only entitled to claim for damages.

Innominate term is an intermediate term between a condition and a warranty which does not automatically discharge the innocent party from its obligations under the contract or entitle an injured party to damages. A court must evaluate the seriousness of the breach.

At common law, the remedies for breach of contract may vary and in case of breach of a condition or fundamental breach of an innominate term, the innocent party is entitled to repudiate the contract. For breach of other terms, the innocent party is only entitled to claim for damages.

In this case, it is necessary to determine whether the breach by Mary and Lisa is a condition, an innominate term or a warranty in order to advise the appropriate remedies.

Answer 2(b)

The question required candidates to discuss the remedies of breach of contract.

For Mary, she was unable to perform the opera on the first four nights, which was a serious matter and should be regarded as a breach of condition.

In *Poussard v Spiers* [1876], Poussard entered into a contract to perform as an opera singer for three months. She was ill five days before the opening night and was not able to perform on the first four nights. Spiers then replaced her with another opera singer. It was held that the opening night was the most important performance as all the critics and publicity would be based on this night, and is therefore the root of the contract. Poussard was in breach of condition and Spiers were entitled to terminate the contract.

In this case, the contract was discharged by breach of a condition and Peter is entitled to terminate the contract with Mary.

For Lisa, she only missed four days of rehearsals. The breach was not a serious matter and should be regarded as a breach of warranty. The contract had not been discharged.

In *Bettini v Gye* [1876], Bettini entered into a contract to perform as an opera singer for three months. Bettini was ill and missed six days of rehearsals. The employer replaced Bettini with another opera singer. It was held that missing the rehearsals did not go to the root of the contract. Bettini was in breach of a warranty and therefore the employer was not entitled to terminate the contract.

In this case, Peter is not entitled to terminate the contract with Lisa and is only entitled to claim damages for the breach.

Answer 3

The question required candidates to discuss the steps to convert a private company into a public company.

A private company is prohibited from offering shares to public subscription under s.11(1). Only a public company may offer shares to the public for subscription.

For the purposes of listing on the Hong Kong Stock Exchange, only a public company may offer shares to the public for subscription. A public company is defined negatively to mean a company that is neither a private company nor a company limited by guarantee under s.12.

There are a number of steps to convert a private company into a public company. The private company must pass a special resolution to alter its articles under s.88(2).

The company must deliver to the Registrar for registration (i) a notice of the alteration in the specified form; and (ii) a copy, certified by an officer of the company as correct, of the articles as altered within 15 days after the date on which an alteration takes effect under s.88(5).

S.94(1) provides that if a private company alters its articles so that the articles no longer comply with s.11(1)(a), the company ceases to be a private company on the date on which the alteration takes effect.

S.94(2)(a) provides that in addition to the documents required under s.88(5), the company must, within 15 days after the date on which the alteration takes effect, deliver to the Registrar for registration a notice of the change of the company's status in the specified form.

S.94(3) provides that if a company contravenes subsection (2)(a), the company, and every responsible person of the company, commit an offence, and each is liable to a fine at level 3 and, in the case of a continuing offence, to a further fine of HK\$300 for each day during which the offence continues.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 4(a)

The question required candidates to discuss the liability for negligent misstatement.

Negligent misstatement is based on tort of negligence and occurs where there is a representation of fact, which is incorrect and carelessly or negligently made, and is relied on by another party who suffers from damages as a result.

To successfully claim in negligent misstatement, the plaintiff must prove that:

- the defendant owed him/ her a duty of care;
- the defendant was in breach of duty;
- the breach of duty has (causation) caused injury or damage; and
- the injury or damage is not too remote.

The duty of care requirement under *Donoghue v Stevenson [1932]* is not enough and was rejected by *Hedley Byrne & Co. Ltd. v Heller & Partners Ltd. [1964]*. It was held that a proximity was required. Proximity is a "special relationship" between the representor and the representee. A "special relationship" arises when someone of special skills undertook, irrespective of contract, to apply that skill for the assistance of another person who relied upon such skill.

Liability for negligent misstatement is found in the case of *Hedley Byrne & Co. Ltd. v Heller & Partners Ltd. [1964]*. The duty of care is established based on the existence of a special relationship and was said to exist "where one party seeking information and advice was trusting the other to exercise such a degree of care as the circumstances required where it was reasonable for him to do that and where the other party gave the information or advice when he knew or ought to have known the enquirer was relying on him".

Answer 4(b)

The question required candidates to discuss the concept of proximity.

The issue of the question is the concept of proximity. The concept of proximity is based on the existence of a special relationship as per *Hedley Byrne & Co. Ltd. v Heller & Partners Ltd. [1964]*. A "special relationship" may arise between the representor and the representee in some cases.

The lecture presented by Benny may arise to liability for negligent misstatement, which is founded in the case of *Hedley Byrne & Co. Ltd. v Heller & Partners Ltd. [1964]*. It was held that a proximity was required. Proximity means that the representor and the representee must be "sufficiently close" so that it is "reasonably foreseeable" that one party's negligence would cause loss or damage to the other and that it is "fair, just and reasonable" for one party to owe the duty to another.

In considering whether Benny owes Sam and Danny a duty of care, it should be established that there is a "special relationship" between Benny (the lecturer) and Sam and Danny (the students). The test is laid down in *Caparo Industries plc v Dickman* [1990]. The Caparo test is an extension of the neighbour test.

In *Caparo Industries plc v Dickman* [1990], it was held that the defendant must be in a position to foresee that the plaintiff shall rely on his/ her advice or information and refused to extend the duty of care to the potential investor; the potential investor was not proximate enough to support the existence of a neighbour relationship.

The Caparo test is made up of three stages: proximity, foreseeability and fairness and the following factors per *Caparo Industries plc v Dickman* [1990]:

- "sufficient relationship of proximity" as per *Hedley Byrne & Co. Ltd.*;
- "reasonable foresight of harm"; and
- "fair, just and reasonable to impose the duty".

In light of the court's decisions in *Caparo Industries plc v Dickman* [1990], it seems that there must be a sufficient degree of proximity being necessary to find a duty of care between the representor and the representee. According to the circumstances, it is necessary to prove that this is a case of reasonable reliance and reasonable foresight of harm. Sam and Danny still need to prove the causation and damages upon which they relied on the lecture and suffered loss as a result.

In this case, it is necessary to prove the existence of special relationship between the representor and the representee. The advice to Sam and Danny is that it is unlikely that Benny owed to Sam and Danny a duty of care as Benny did not know that the purpose of the lecture was for investment when Benny prepared the lecture. It is unreasonable and unforeseeable that Sam and Danny relied on the lecture and proximity exists between the representor and the representee. As Benny did not know that the lecture would be relied on by Sam and Danny for investment, it may be difficult to prove that it is fair, just and reasonable for Benny to owe the duty to Sam and Danny, and conclude that Benny is liable for negligent misstatement.

Answer 5(a)

The question required candidates to discuss the unfair prejudicial remedy under s.724.

S.724 states that the court may exercise its powers to give relief if, on a petition by a member of a company, it considers that:

- the company's affairs are being or have been conducted in a manner which is unfairly prejudicial to the interests of the members generally or of one or more members (including the member); or

- an actual, or proposed, act or omission of the company (including one done or made on behalf of the company) is or would be so prejudicial.

There are two elements to the requirement of unfair prejudice, and both must be present: the conduct must be prejudicial causing prejudice or harm to the interest of the members or some part of the members of the company, and the conduct complained of must be unfair.

In *Re Taiwa Land Investment Co Ltd. [1981]*, it was held that the company was a small business with only four directors who had close personal relationships and all participated in the management with mutual trust and confidence; any conduct which amounted to the injury, detriment or damage to the member petitioner shall be regarded as prejudice conduct and that unfairness and prejudice conduct to members must be co-existence.

The concept of unfairness is similar to the just and equitable ground for winding-up. The notion of fairness must be understood in this context. The notions on fairness have been well explained by the court in *O'Neill v Phillips [1999]*. It was held that for unfair prejudice remedy, there must be a breach of the terms of how the affairs of the company should be conducted; and it is unfair for those conducting the affairs of the company to rely on their strict legal powers under the constitution of the company.

S.725(1)(a) provides that the court may make any order it thinks fit for giving relief under a petition for unfair prejudice under s.724(1)(a). Under ss.725(2) and 726, the specific remedies which the court may make any or all of the following orders:

- an order restraining the continuance of the conduct of the company's affairs mentioned in the petition;
- an order that proceedings that the court thinks fit be brought in the company's name;
- an order appointing a receiver or manager;
- any other order the court thinks fit, whether for regulating the conduct of the company's affairs in future, for the purchase of shares of any member of the company by another member of the same company, for the purchase of shares of any member of the company by the company and the reduction accordingly of the company's capital, or for any other purpose; and
- an order for the company or any other person to pay any damages that the court thinks fit to a member of the company whose interests have been unfairly prejudiced by the conduct of the company's affairs or by the act or omission.

In this case, Samuel may argue that he was removed from his directorship and excluded from management, which is a breach of the mutual agreement and legitimate expectation to manage the company. This conduct is unfairly prejudicial to Samuel as a member of the company. As such, Samuel may apply for unfairly prejudicial remedies under s.724 and the specific remedies available under s.725.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 5(b)

The question required candidates to discuss the requirement under s.177(1)(f).

There is a ground for Samuel. Samuel may rely on the ground that it is just and equitable to wind up the company under s.177(1)(f). The winding-up petition may be issued from the Court of First Instance and only this court shall have jurisdiction to wind up any company under s.176.

Samuel may rely on the ground under s.177(1)(f) that it is just and equitable to wind up the company. It is governed by equitable principles. This remedy is a last resort when other remedies are not available to the applicant (e.g. unfairly prejudicial remedies under s.724 of the Companies Ordinance (Cap.622)). In *Re Yung Kee Holdings Ltd. [2014]*, it was held that a quasi-partnership existed between the two brothers and that Kam Kwan Lai's use of his majority shareholding to implement changes to the company's board of directors unfairly prejudiced Kam Kwan Sing's interests and the court allowed winding-up as it lacked jurisdiction to order the unfairly prejudicial remedies for a non-Hong Kong company.

The Companies Ordinance (Cap.622) and (Cap.32) do not define the meaning of "just and equitable grounds". It is governed by case law. The courts have allowed the cases where the main object of the company has failed in *Re German Date Coffee Co [1882]*; and where the members have formed a company on the basis of a relationship involving mutual trust, understanding, and confidence which no longer exists and winding-up is a last resort in *Re Yung Kee Holdings Ltd. [2014]* and *Ebrahimi v Westbourne Galleries Ltd. [1973]*.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32).

Answer 6(a)

The question required candidates to discuss the principles of separate legal entity and limited liability and its exceptions.

A company is a separate legal entity. This means that a company is a different entity altogether from its shareholders and directors. The liabilities of the shareholders are limited to the amount unpaid on shares they subscribed and the shareholders are not liable to the liabilities of the company.

A company is treated as a separate legal person, as opposed to a natural person (one born naturally), under the case *Salomon v A. Salomon Ltd. [1897]*. A legal person has all the legal capacities as per a natural person of full age under s.115(1). The unique feature about limited companies is that the shareholders are protected by the doctrine of limited liability. It means that the shareholders are only obliged to contribute the amount they agreed to subscribe the shares of a private company limited under s.8.

In *Salomon v A. Salomon Ltd. [1897]*, it was held that Salomon could be both the shareholder and the creditor of a company. The two capacities were different. A company at law was a different person, even if it was effectively being operated by one person. As such, Mr Salomon was entitled to enforce the debentures of the company as a creditor on company's liquidation. However, the principles are subject to contrary proof.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 6(b)

The question required candidates to discuss whether the corporate veil can be lifted up.

There have been a number of cases where the court has been willing to lift the veil and there are also some relevant statutory provisions. The veil may be lifted in cases involving fraud and crime under common law or the statutes. A few categories of case where it is commonly suggested that the veil will be lifted are fraud or improper conduct, agency and parent-subsidiary relationship.

In *Adams v Cape Industries plc [1990]*, the courts have allowed the veil to be lifted in only three situations that: (i) Cape Industries plc ("Cape") and the relevant subsidiaries should be treated as a single economic unit; (ii) the subsidiaries were used as a facade, concealing the true facts; and (iii) that an agency relationship existed between Cape and its subsidiaries. In *Prest v Petrodel Resources Ltd. [2013]*, the UK Supreme Court re-examined the doctrine of separate legal entity and held that the doctrine must be taken seriously and the veil piercing is only appropriate if there has been evasion of liabilities and the corporate personality of the company has been abused where no other remedy of law can provide an appropriate remedy.

It can be seen from the foregoing cases that the doctrine of separate legal entity is taken seriously and the veil is not lifted unless with a good reason. It is necessary to prove that there has been evasion of liabilities and the corporate personality of the company has been abused where no other remedy of law can provide an appropriate remedy in order to lift the corporate veil in view of *Prest v Petrodel Resources Ltd. [2013]*. The restrictive approach of *Prest* was subsequently endorsed by Lord Sumption in *Wood v Baker [2015]* that the corporate veil is only lifted when no other remedy of law is available.

In *Gilford Motor Company Ltd. v Horne* [1933], the defendant entered into a non-compete agreement with the company in the event of his leaving. He sought to evade this agreement by forming a company controlled by his family members. The courts lifted the veil and held him liable to the non-compete agreement. In this case, it is necessary for the applicant, Williams' former employer to prove that there has been evasion of liabilities and the corporate personality of the company has been abused where no other remedy of law can provide an appropriate remedy in order to lift the corporate veil in view of *Prest v Petrodel Resources Ltd.* [2013].

Answer 7(a)

The question required candidates to discuss the issues of passing the ownership of property to the buyer by a non-owner with a discussion on the common law rule of *nemo dat quod non habet*.

In determining who owns the property, the discussion on the general rule under s.23(1) and the exceptions under ss.23 to 27 is required. The general rule is *nemo dat quod non habet* under common law. It means that "no one gives what they don't have". This rule is now codified under the Sale of Goods Ordinance (Cap.26). The rule represents that where goods are sold by a person who is not their owner, and who does not sell them under the authority or with the consent of the owner, the buyer acquires no better title to the goods than the seller had, unless the owner of the goods is by his/ her conduct precluded from denying the seller's authority to sell under s.23(1).

The common law rule has developed some exceptions to protect the innocent and *bona fide* purchaser who unknowingly purchases the goods from a non-owner but still obtains the legal title of the goods. This rule is now codified under ss.23 to 27. Since Steven as an agent bought the dried seafood without good faith, he is not a *bona fide* purchaser and no protection is given to him.

In this case, the sale of dried seafood was not made by an original owner under s.14. Hence, no title has been passed to Maggie. The original owner is able to get back the dried seafood.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Sale of Goods Ordinance (Cap.26).

Answer 7(b)

The question required candidates to discuss the bribery offence of Steven accepting the secret commission as an agent for the shop.

The key provision is s.9, and addresses the bribery of "agents". The principal is regarded as the employer and the agent is regarded as the employee. S.9 is intended to prohibit conduct that may undermine the integrity of the principal and agent/ fiduciary relationship, such as any receipt by an agent of advantages from third parties without the principal's permission and secret attempts by third parties to corrupt or influence an agent.

It is an offence that, anyone who, without lawful authority or reasonable excuse, offering an advantage to an agent (or, as an agent, soliciting or accepting an advantage) as an inducement or reward or otherwise on account of the agent (not)performing an act or (dis)favouring any person in relation to his/ her principal's affairs or business.

An advantage is defined by s.2 as including, but not limited, to any gift, loan, fee, reward or commission consisting of money or of any valuable security or of other property or interest in property of any description; any office, employment or contract etc. In this case, the secret commission to Steven as an agent without the approval from the employer is within this definition.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Prevention of Bribery Ordinance (Cap.201).

Answer 7(c)

The question required candidates to discuss the breach of employment contract and summary dismissal under s.9.

Under s.9, summary dismissal is available on the following five grounds where:

- (i) an employee wilfully disobeys a lawful and reasonable order;
- (ii) an employee engages in conduct which is inconsistent with the due and faithful discharge of his/ her duties;
- (iii) an employee is guilty of fraud or dishonesty;
- (iv) an employee is habitually neglectful in his/ her duties; or
- (v) on any other ground on which an employer would be entitled to terminate the contract without notice at common law.

Summary dismissal is also available at common law. If there is a serious breach of the employment contract or has evinced repudiation of the employment contract, then there is a breach of the implied term of trust and confidence in the employment.

Accepting a secret commission without the approval from the company is definitively a serious breach of the employment contract under both common law and s.9. On summary dismissal, the employment relationship is terminated with immediate effect and the employee is not entitled to receive notice of termination or payment in lieu of notice.

In this case, the shop can terminate the employment with Steven without notice having regard to his conduct under either the common law or legislation.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Employment Ordinance (Cap.57).

Answer 7(d)

The question required candidates to discuss the contractual, common law and fiduciary duties of an agent.

The agent has a contractual duty to follow the principal's instructions and failure to do so will amount to a breach of agency under the law of contract.

The agent must perform his/ her duties with accepted standard of skill and competence under the common law.

Agency is a fiduciary relationship that imposes a strict obligation on the agent not to promote personal interests in preference to those of the principal.

The agent should not put himself/ herself in a position where his/ her personal interests come ahead of, conflict or clash with that of the principal.

The agent must not make a secret profit or acquire any benefit in the course of the agency without the principal's consent.

The agent must account to the principal for all money he/ she receives on the principal's behalf and the agent must keep a proper record for all transactions. The agent is also liable to account for any profit that he/ she has made from transaction undisclosed to the principal.

In this case, Steven is an employee and an agent duly authorised by the shop to buy dried seafood. Steven is in breach of the contract law, common law and fiduciary duties. As such, Steven is liable to pay damages to Maggie.

* * * END OF EXAMINATION PAPER * * *